Insurance Premium Review

Insurance Premium Review - Brightmoor Foods

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Department: Finance

Overview

This document provides a detailed review of our current insurance premiums for the 2024 fiscal year. The analysis is based on the proposals received from our insurance broker, InsureRight Ltd., on September 20, 2023. The following sections outline the key changes, cost implications, and recommended actions.

Current Premiums and Proposed Changes

For the 2023 fiscal year, our total insurance premiums amounted to EUR 1,250,000, distributed as follows:
- **General Liability:** EUR 450,000
- **Property Insurance:** EUR 300,000
- **Employee Benefits:** EUR 250,000
- **Product Liability:** EUR 150,000
- **Business Interruption:** EUR 100,000

InsureRight has proposed the following premiums for 2024, reflecting an overall increase of 7%:
- **General Liability:** EUR 482,500 (+7%)
- **Property Insurance:** EUR 322,500 (+7%)
- **Employee Benefits:** EUR 267,500 (+7%)
- **Product Liability:** EUR 160,500 (+7%)
- **Business Interruption:** EUR 107,000 (+7%)

Cost Implications

The proposed premiums for 2024 total EUR 1,340,000, an increase of EUR 90,000 over the current year. This increase is attributed to rising market rates and heightened risk assessments in the food manufacturing sector.

Recommended Actions

To mitigate the premium increase, the following actions are recommended:

1. **Risk Assessment Review:** Conduct a comprehensive risk assessment by December 1, 2023, to identify potential areas for improvement and risk reduction.
2. **Negotiation:** Engage InsureRight in negotiations to explore possible discounts for bundled policies or risk mitigation strategies.
3. **Budget Adjustment:** Adjust the 2024 operational budget to accommodate the increased insurance costs, ensuring that other critical areas are not adversely affected.

Conclusion

It is crucial to address the insurance premium increase proactively to maintain financial stability and ensure comprehensive coverage for Brightmoor Foods. Implementation of the recommended actions will help manage the impact of these changes effectively.

Approved by:
Carlos Gomez, CFO
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